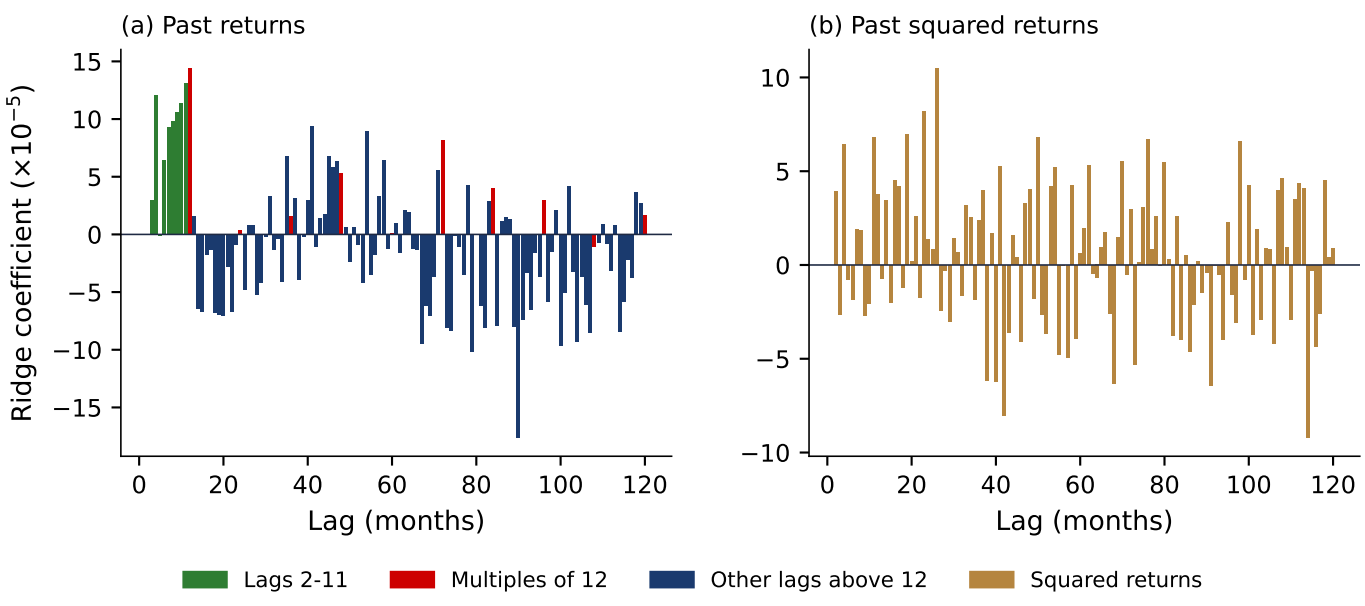
(a) Past returns
(b) Past squared returns
Ridge coefficient (×10⁻⁵)
15
10
5
0
−5
−10
−15
0
20
40
60
80
100
120
Lag (months)
Lags 2-11
Multiples of 12
Other lags above 12
Squared returns